

on a long timescale brings great results. But we also want to do that counter-step which causes us to ditch the simple solution and search for complex ones.

How to find simple solutions

Very much around the time that Facebook was going public (having their IPO), I came across this 20th century economist, Vilfredo Pareto. He was an Italian engineer, sociologist, economist, philosopher and so much more. Like the baby-boomer Indian, he was an engineer early in his career and later moved into management and economics. He taught at Lausanne University and was the one who found that 80% of the wealth was held by 20% of the people. He applied this principle to various fronts which won him accolades that would fill any 3BHK flat in sub-urban Mumbai. But his most notable theory according to me was:

- 80% of the results can be obtained through 20% of effort.
- 20% of effort brings 80% results and in some cases, up to 90 – 95%.

In the digital age, Tim Ferriss decries that 80-20 means:

- For SME sales people, the 20% is in making your existing customers lifelong fans, instead of long-hours cold call outreach.
- With your work, this will be the 20% time you allocate for output your boss has a tangible measure on - not the time spent on email, Trello or Slack correspondence.

With your finance, this 20% of effort will involve understanding the 3 ideas described below:

- 1) Identifying your big goals (money-wise) in life
- 2) Understanding Compound Interest
- 3) Consistency (done is better than perfect)

The above 3 points have been around for more than a century. In fact, this would be rudimentary for in-the-know people. But hey, when something so simple works, why complicate it? Here's a small snippet about them while I dig deeper in the coming chapters